EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Alcala was established as a regular municipality by virtue of a Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as a third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Particulars	2020	2019	Increase (Decrease)
Financial Condition			
Total Assets	P 406,261,382.59	P 328,936,514.01	77,324,868.58
Total Liabilities	73,282,818.50	54,328,156.70	18,954,661.80
Total Government Equity	332,978,564.09	274,608,357.31	58,370,206.78
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	185,294,033.29	140,609,348.43	44,684,684.86
Total Expenses (Includes	137,675,249.31	115,156,751.78	22,518,497.53

Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations			
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	P 197,549,721.31	P 152,183,085.67	45,366,635.64
Appropriations-Continuing	107,764,313.74	42,750,966.97	65,013,346.77
Allotments – Current	197,549,721.31	152,183,085.67	45,366,635.64
Allotments –Continuing	107,764,313.74	42,750,966.97	65,013,346.77
Obligations – Current	146,405,807.56	113,429,100.30	32,976,707.26
Obligations –Continuing	73,262,497.79	16,335,846.68	56,926,651.11
	2020	**2019**	**Increase (Decrease)**
Funds Received from Other Agencies			
NGAs	88,345,630.51	167,350.00	88,178,280.51
LGUs		-	
NGO/POs		-	
Others	270,000.00	-	270,000.00
Total	**88,615,630.51**	**167,350.00**	**88,448,280.51**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	285,000.00	-	285,000.00
NGO/POs		-	-
Others		-	
Total	**P 285,000.00**	**P -**	**P 285,000.00**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2020 due to the following:

1. The reliability of the balances of Property, Plant and Equipment accounts, with a total carrying value of P213,286,475.99, remained not fully verifiable as to existence, condition and accountability due to non-taking up of the procedures for the "one-time cleansing" of PPE accounts as provided in COA Circular No. 2020-006 dated January 31, 2020, hence, resulted to the following: (a) Property Plant and Equipment, with a total acquisition cost of P75,278,702.68 were not physically counted; (b) Property, Plant and Equipment, with a total carrying value of P52,133,875.70, have unreconciled balances between the Statement of Financial Position and Report on the Physical Count of PPE by P3,372,988.40; and (c) Small tangible items, with total acquisition cost of P106,795.00, were recognized as Property, Plant and Equipment, instead of recording the same as inventory items, which are not in keeping with Sections 266, 322 and 183 of Volume I of the Government Accounting Manual for Local Government Units.

2. The balances of the Accounts Payable, Due to Officers and Employees, and Other Payables accounts as of December 31, 2020 amounting to P6,922,995.36, P5,977,706.58, P5,013,222.88, respectively, were not supported with complete documentation, thereby casting doubt on the validity and accuracy of their balances in the financial statements.

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. **Goods, drugs and medicines, supplies, and materials purchased totaling to P17,781,724.79 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts. Likewise, the procedures and the preparation of the forms and reports on requisition, receipt, recording and issuances of inventory were not strictly observed, which are not in keeping with Sections 183 to 190, Volume I, Government Accounting Manual for Local Government Units. Hence, in the absence of these available controls, the inventories acquired/received may not be sufficiently monitored and safeguarded.**

   We recommended that the following be observed:

   a. The Municipal Accountant, upon receipt of the AIR and other supporting documents, such as Purchase Orders, Delivery Receipts and/or Supplier's Invoice, draw a Journal Voucher (JV) to record the Inventories in the Journal of Procurements Received and in the Inventory Ledger Cards. In case of inventories acquired thru non-change transactions, the Report on Receipt of In-Kind Donations for Inventories shall be the basis for drawing the JV for the recognition of the Inventories in the books of accounts.

   b. The Municipal General Services Officer submit to the Municipal Accountant the monthly Report of Supplies and Materials Issued (RSMI), together with the supporting RIS, within five (5) days after the end of the month. Thereafter, the Municipal Accountant shall use this as a basis in drawing a JV to record the issuances.

   c. The Municipal General Services Officer and Municipal Accountant ensure compliance with the procedures for the preparation and maintenance of the various forms necessary to support, control and monitor the requisition, receipt and issuance of all inventory items, acquired either through procurement or donation.

2. **The Cash in Bank account maintained for the Trust Fund-LDRRMF amounting to P9,182,293.17 is not reconciled with the total reported balance**

in the Trust Liabilities- LDRRMF and cash donations received relative to the LDRRMF recorded in the Trust Liabilities by P3,631,172.58, which is inconsistent with Section 322 of Volume I of the Government Accounting Manual for Local Government Units. Thus, may affect the reliability of the accounts in the financial statements and the proper accounting of utilization of funds on this account.

We recommended that the Municipal Accountant and Municipal Treasurer review and reconcile their records and prepare the necessary and appropriate adjusting entries to ensure that the correct balances of Cash in Bank Local Currency Account for the Trust Fund-LDRRMF and Trust Liabilities-LDRRMF accounts are reflected in the financial statements.

3. **Long outstanding cash advances granted in previous years, with a total amount of P6,821,646.50, have remained unliquidated in the books of the LGU as at December 31, 2020 due to the non-submission of necessary documents as settlement of accountabilities by the various accountable officers/ employees, which is not in adherence with Section 89 of Presidential Decree No. 1445 and pertinent provisions of COA Circular No. 97-002 dated February 10, 1997. Moreover, previous years' fund transfer to Alcala Tobacco Producers Cooperative for the implementation of the Production Loan programs, with a balance of P6,000,000.00, has remained outstanding in the books as at December 31, 2020 due to the non-submission of the corresponding fund utilization reports. Thus, it could not be evaluated whether the funds were utilized in accordance with their intended purposes.**

   We recommended that the Municipal Accountant: (a) Require the accountable officers/employees to liquidate/settle their long outstanding cash advances in compliance with COA Circular 97-002 and PD 1445. In addition, additional cash advances shall not be granted to any officials and employees unless the previous cash advance is first settled or a proper accounting thereof is made; and (b) Compel the Cooperative for the immediate submission of the fund utilization reports or any necessary documents to support the fund transfers in the total amount of P6,000,000.00, otherwise, necessitate the refund of the amount.

4. **The unexpended balance of previous LDRRMF transferred to the Special Trust Fund was not incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan as prescribed in COA Circular 2012-002. Thus, the propriety of charges and the disaster risk reduction and management activities supporting the said fund could not be easily ascertained.**

   In view of the foregoing, we recommended that the MDRRMC: (a) prepare the LDRRMFIP by adopting the prescribed format in the Annex A of the COA Circular 2012-002; and (b) review and update annually the LDRRMFIP to include

activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund.

5. **The Report on the Receipt and Utilization of Cash Donations and the Summary/List of Donations Received, Distributed and Balances for in-kind donations and its supporting documents were not submitted to the National Disaster Risk Reduction and Management Council, through the Office of the Civil Defense for consolidation, which is not in consonance with Item II.1.b of COA Circular No. 2020-009 dated April 21, 2020.**

   We recommended that the Management comply with the reporting guidelines stated in Item II.1.b of COA Circular No. 2020-009 dated April 21, 2020, for submission to the National Disaster Risk Reduction and Management Council, through the Office of the Civil Defense.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P** -	**P** -	**P** -	**P** -	-

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 16 audit recommendations in the CY 2019 Annual Audit Report, six (6) were implemented, six (6) were partially implemented and four (4) were not implemented and reiterated in Part II of this Report.